# Chapter 3: Money and Credit
## (Class 10 Economics – CBSE Exam Ready Notes)

### 💰 1. Money as a Medium of Exchange

- **Money** is anything that is widely accepted as a medium of exchange for goods and services.
- It eliminates the problem of **double coincidence of wants**, a major drawback of the **barter system**.
- Example: A shoe manufacturer can sell shoes for money and use that money to buy wheat — no need to find someone who wants shoes and sells wheat.

### 📊 Comparison: Barter System vs Money Economy

| Feature | Barter System | Money Economy |
|---|---|---|
| Medium of Exchange | Goods for goods | Money |
| Double coincidence of wants | Essential | Not required |
| Ease of transaction | Difficult | Easy and quick |
| Store of value | Difficult | Easy |

### 💸 2. Modern Forms of Money

**(a) Currency**

- Includes paper notes and coins.
- Has no intrinsic value (not made of precious metals).
- Accepted because it is **authorised by the government**.
- In India, **Reserve Bank of India (RBI)** issues currency on behalf of the **Central Government**.
- **Legal tender**: No one can refuse payment made in rupees.

**(b) Deposits with Banks**

- People deposit surplus money in banks, earning **interest** and ensuring safety.
- These deposits are **demand deposits** – withdrawable at any time.
- They serve as **money** because they can be used for payments via **cheques**.

**(c) Cheque Payments**

- A **cheque** is a written order directing a bank to pay a specified sum from one person's account to another.
- Enables cashless transactions and transfers money between accounts without physical currency.

### 🏦 3. Loan Activities of Banks

- Banks keep about **5%** of deposits as cash to meet daily withdrawal demands.
- The rest is lent as **loans** for various purposes.
- Banks act as **intermediaries** between depositors (surplus funds) and borrowers (funds needed).
- **Interest on loans > Interest on deposits** → This difference is the bank's main income.

### 💳 4. Credit – Meaning and Importance

- **Credit (loan)** is an agreement where the lender gives money, goods, or services to the borrower with a promise of future repayment.

### 📊 Two Credit Situations

| Situation | Borrower | Outcome |
|---|---|---|
| 1. Salim – Shoe manufacturer | Uses credit for production → earns profit → repays loan | **Positive impact** – earns more |
| 2. Swapna – Farmer | Crop fails → unable to repay → debt increases → sells land | **Negative impact** – falls into **debt trap** |

✅ Credit can improve earnings or push borrowers into **debt**, depending on risks and support available.

### 📝 5. Terms of Credit

- Every loan agreement includes:
  - **Interest rate**
  - **Collateral** – an asset pledged as security
  - **Documentation**
  - **Mode of repayment**

Example: Megha's house loan – ₹5 lakh for 10 years at 12% interest. House papers kept as collateral until loan repayment.

📊 **Examples of Collateral**

| Type | Examples |
|---|---|
| Immovable property | Land, building |
| Movable property | Vehicle, livestock |
| Financial assets | Bank deposits |

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🏘️ **6. Variety of Credit Arrangements (Case: Sonpur Village)**

| Person | Source | Interest Rate | Purpose | Terms |
|---|---|---|---|---|
| Shyamal (small farmer) | Moneylender | 60% per annum | Cultivation | Must sell crops to lender |
| Arun (medium farmer) | Bank | 8.5% per annum | Cultivation, cold storage | Can repay anytime in 3 years |
| Rama (labourer) | Landowner | 5% per month | Daily expenses | Repays through labour |
| Krishak Cooperative | Cooperative | Low | Farm implements, trade, housing | Easy terms, collective borrowing |

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🏛️ **7. Formal and Informal Sources of Credit**

📊 **Comparison: Formal vs Informal Credit**

| Basis | Formal | Informal |
|---|---|---|
| Examples | Banks, cooperatives | Moneylenders, traders, relatives |
| Supervision | RBI supervises | No supervision |
| Interest rate | Lower, regulated | High, unregulated |
| Collateral | Required | Often not required |
| Records | Maintained | Rarely maintained |
| Impact | Encourages development | Can lead to debt traps |

- **RBI (Reserve Bank of India)** supervises formal lenders and ensures lending to priority sectors.
- Informal lenders often charge **very high interest**, increasing borrower debt and reducing income.

📊 **Credit Share in Rural India (2019):**

- Commercial Banks – 51%
- Cooperatives – 10%
- Moneylenders – 23%
- Relatives/Friends – 7%
- Others – 9%

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👥 **8. Self-Help Groups (SHGs) – A New Way for Credit**

- Small groups of **15–20 women** pool savings and give small loans to members.
- After regular saving, SHGs become eligible for **bank loans**.
- Features:
  - Lower interest rates.
  - No collateral required.
  - Group responsibility ensures repayment.
  - Empower women and encourage self-reliance.
  - Discuss social issues during meetings.

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🌍 **9. Grameen Bank – A Success Story**

- Founded by **Muhammad Yunus** in Bangladesh.
- Over **9 million members**, mostly poor women.
- Provides small loans without collateral.
- Helps start small businesses and improve livelihoods.

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🧠 **Summary**

- Money solves the problem of barter and serves as a **medium of exchange**.
- Modern money includes **currency and demand deposits**.
- Banks use deposits to provide loans, acting as intermediaries.
- Credit can have **positive or negative effects** depending on conditions.

- Formal credit is supervised, cheaper, and safer, while informal credit is costly and risky.
- Expanding **formal credit** and encouraging **SHGs** are crucial for inclusive development.

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## 📚 PART 2 – CBSE STYLE QUESTION BANK

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### 🧠 A. 1 Mark Questions

1. What is double coincidence of wants?
2. What are demand deposits?
3. What is collateral?
4. Which organisation issues currency in India?
5. What is meant by SHG?

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### ✍️ B. 2 Mark Questions

1. How does money solve the problem of double coincidence of wants?
2. What is the difference between currency and demand deposits?
3. What is the role of RBI in the formal credit sector?
4. Mention two advantages of SHGs.
5. Give two differences between formal and informal credit.

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### 📖 C. 3 Mark Questions

1. Explain the loan activities of banks.
2. How does credit play both a positive and a negative role? Explain with examples.
3. What are the various terms of credit?
4. Why are poor households still dependent on informal sources of credit?
5. What is the basic idea behind the Self-Help Groups?

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### 💉 D. 5 Mark Questions

1. Distinguish between formal and informal sources of credit. Why is formal credit preferred?
2. What are the different credit arrangements available in rural areas? Explain with examples.
3. Discuss the role of banks in the economy.
4. Why should formal sources of credit be expanded in India?
5. How do Self-Help Groups help in rural development?

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### 💡 HOTS (High Order Thinking Skills)

1. "Credit can sometimes push people into a debt trap." Explain with an example.
2. Why is collateral important for banks while lending money?
3. Why are formal sources of credit less accessible to poor households?

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### 📊 Case-Based Question

**Read the passage and answer:**

Swapna, a small farmer, takes a loan from a moneylender to grow groundnuts. The crop fails due to pests. She cannot repay the loan, and her debt grows. She sells part of her land to repay the moneylender.

Q1. What is Swapna's situation called?

Q2. Why did Swapna fall into this situation?

Q3. Suggest ways to prevent such situations in the future.

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### 📘 A. 1 Mark Questions – Answers

1. **Double coincidence of wants**: It refers to a situation in a barter system where two people each have something the other wants and agree to exchange those goods directly.
2. **Demand deposits**: Deposits in a bank account that can be withdrawn on demand by the depositor. They function as money because they can be used to make payments through cheques.
3. **Collateral**: An asset owned by the borrower (like land, house, or vehicle) used as a guarantee to a lender until the loan is repaid.
4. **Organisation issuing currency in India**: The **Reserve Bank of India (RBI)** issues currency notes on behalf of the **Central Government**.
5. **SHG (Self-Help Group)**: A group of 15–20 people, usually women, who pool their savings and lend money among themselves, often becoming eligible for bank loans later.

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## ✍️ B. 2 Mark Questions – Answers

1. **How money solves the problem of double coincidence of wants:**
   In a barter system, exchange can occur only when both parties want what the other offers. Money eliminates this need because it is a common medium of exchange. For example, a farmer can sell wheat for money and use that money to buy clothes, without needing to find a cloth seller who wants wheat.
2. **Difference between currency and demand deposits:**

| Basis | Currency | Demand Deposits |
|---|---|---|
| Form | Paper notes and coins | Deposits in bank accounts |
| Use | Directly used for payments | Used through cheques and online transfers |
| Issued by | RBI (currency notes) | Created when people deposit money in banks |

3. **Role of RBI in the formal credit sector:**
   - RBI supervises the functioning of banks.
   - It ensures that banks maintain a minimum cash balance.
   - It monitors how much banks lend, to whom, and at what interest rates.
   - It ensures banks lend to priority sectors like agriculture and small industries.
4. **Two advantages of SHGs:**
   - They provide credit without collateral and at low interest rates.
   - They help members become financially independent and discuss social issues like health and education.
5. **Two differences between formal and informal credit:**

| Formal Credit | Informal Credit |
|---|---|
| Supervised by RBI | Not supervised |
| Lower interest rate | Higher interest rate |
| Requires documentation and collateral | Often does not require documentation |
| Transparent and safe | Can lead to exploitation and debt traps |

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## 📖 C. 3 Mark Questions – Answers

1. **Loan activities of banks:**
   - Banks accept deposits from the public and pay interest on them.
   - They keep about 5% of deposits as cash to meet daily withdrawal needs.
   - The remaining deposits are given as loans to individuals and businesses.
   - Banks charge a higher interest on loans than they pay on deposits. The difference is their main income.
   - Thus, banks act as intermediaries between depositors (surplus funds) and borrowers (funds needed).
2. **Credit – positive and negative role:**
   - Positive: Credit can help expand production and increase income. *Example:* Salim, a shoe manufacturer, borrowed money, completed an order, made profits, and repaid the loan.
   - Negative: Credit can trap borrowers in debt if income is insufficient to repay. *Example:* Swapna, a farmer, couldn't repay a loan after crop failure, leading to a debt trap.
3. **Various terms of credit:**
   - **Interest Rate**: Rate charged on the loan amount.
   - **Collateral**: Security asset pledged by the borrower.
   - **Documentation**: Proof of identity, income, and property.
   - **Mode of Repayment**: Method and schedule of repaying the loan.
   - These terms vary by lender, borrower, and purpose.
4. **Why poor households depend on informal sources:**
   - Banks require collateral and proper documentation, which poor people often lack.
   - Banks are not present in many rural areas.
   - Informal lenders are available locally and lend without paperwork.
   - Hence, poor households rely on informal lenders despite high interest rates.
5. **Basic idea behind SHGs:**
   - To organise poor, especially women, into small groups (15–20 members) to pool savings and provide loans to each other.
   - After regular savings, SHGs become eligible for bank loans.

- They offer small loans at low interest without collateral, promote self-employment, and empower women.

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## 🧪 D. 5 Mark Questions – Answers

1. **Formal vs Informal Credit – Why formal credit is preferred:**

| Feature | Formal | Informal |
|---|---|---|
| Source | Banks, cooperatives | Moneylenders, traders |
| Supervision | Regulated by RBI | No supervision |
| Interest Rate | Low and fixed | Very high |
| Documentation | Required | Often not required |
| Risk | Low | High (can lead to exploitation) |

- Formal credit reduces exploitation and supports development by providing affordable loans.
- Informal credit often leads to debt traps and poverty.

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2. **Different credit arrangements in rural areas**:
   - **Moneylenders**: Easy access but high interest; often demand crop sales.
   - **Traders**: Provide inputs on credit but exploit farmers by buying crops cheaply.
   - **Banks**: Offer low-interest loans with documentation and collateral.
   - **Landowners**: Provide credit to labourers but exploit them by forcing them into bonded labour.
   - **Cooperatives**: Pool resources and offer low-interest loans.
   - Each arrangement differs in interest rate, collateral, and repayment terms.

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3. **Role of banks in the economy**:
   - Act as intermediaries between depositors and borrowers.
   - Facilitate payments through demand deposits and cheques.
   - Support production by providing loans.
   - Encourage savings and investment.
   - Promote development by lending to agriculture, industry, and trade.

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4. **Need to expand formal sources of credit**:
   - Only ~50% of rural credit needs are met by formal sources.
   - Poor households rely on informal lenders who charge high interest.
   - Expanding formal credit reduces poverty, increases income, and promotes entrepreneurship.
   - Ensures equitable distribution of credit and financial inclusion.
   - Strengthens the economy and supports development.

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5. **How SHGs help rural development**:
   - Provide credit without collateral at low interest rates.
   - Enable members to start small businesses and improve income.
   - Promote self-reliance and financial literacy.
   - Serve as a platform for discussing social issues (health, domestic violence, education).
   - Empower women and reduce dependence on moneylenders.

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## 💡 HOTS – Answers

1. **Credit and debt trap**:
   Credit can lead to a debt trap when income from investment is insufficient to repay the loan. For example, Swapna's crop failed, so she couldn't repay the loan. The debt grew, and she had to sell land to repay it.
2. **Importance of collateral**:
   Collateral ensures that the lender has security against the loan. If the borrower defaults, the lender can sell the asset to recover the money. It reduces lending risks for banks.
3. **Formal credit less accessible to poor**:
   - Poor people often lack collateral and documents.
   - Banks are less present in rural areas.

- Poor borrowers may have unstable income, increasing default risk.
- As a result, banks prefer lending to richer households and businesses.

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📊 **Case-Based Question – Answers**

1. **Swapna's situation**: It is called a **debt trap** — where a borrower is unable to repay a loan and the debt keeps increasing.
2. **Reason for debt trap**: Crop failure reduced her income, making repayment impossible. She had to take new loans and eventually sell land.
3. **Prevention**:
   - Provide crop insurance and government support during crop failure.
   - Expand formal credit sources for farmers.
   - Reduce interest rates and simplify credit procedures.
   - Promote SHGs and cooperative credit.